



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|--|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : Proposed (a) Amendments to Part XXI of the Implementing Guidelines of the Revised Trading Rules, and (b) Guidelines on Natural Disasters or Extraordinary Circumstances

DATE : October 17, 2023

The Exchange is inviting all interested parties to submit their comments on the proposed (a) Amendments to Part XXI of the Implementing Guidelines of the Revised Trading Rules, and (b) Guidelines on Natural Disasters or Extraordinary Circumstances, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc@pse.com.ph until **October 24, 2023**.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED (A) AMENDMENTS TO PART XXI OF THE IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES, AND (B) GUIDELINES ON NATURAL DISASTERS OR EXTRAORDINARY CIRCUMSTANCES

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of these rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit their comments, if any, on the Exchange's proposed (a) Guidelines on Natural Disasters or Extraordinary Circumstances, and (b) Amendments to Part XXI of the Implementing Guidelines of the Revised Trading Rules (the "Implementing Guidelines").

Interested parties may submit their comments and requests for clarifications by e-mail to ogc@pse.com.ph until October 24, 2023.

II. Rationale for the Rule Review

It is the mandate of the Exchange, as an organized marketplace, to remain open for business and operate at all times for the various stakeholders, and to halt trading on a market-wide basis only as a last resort.

Pursuant to this mandate, and after a careful review of the market data for the previous years, including a survey of seven (7) exchanges¹ within Asia, on May 12, 2022, the Exchange proposed to amend Section 2(a), Article VIII of the Revised Trading Rules (the "Trading Rules") to change the trigger for market-wide halt from inability of at least 1/3 of the TPs to access the trading system to inability of TPs accounting for more than fifty percent (50%) of the average daily trading value (exclusive of block sales) for the six calendar months preceding the date of determination to access the trading system, directly or through their correspondent TP, due solely to trading system problems attributable to Exchange system issues such as, but not limited to, server failure, network/link problems, or application errors.²

¹ Indonesia Stock Exchange, Stock Exchange of Thailand, Singapore Exchange, Bursa Malaysia, Korea Exchange, Hong Kong Exchanges and Clearing Limited, and Japan Exchange Group.

² In light of comments received during the public consultation, PSE has revised the proposal as follows:

Section 2(a), Article VIII of the Revised Trading Rules:

ARTICLE VIII
MARKET HALT OR SUSPENSION
OF TRADING ACTIVITY

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SECTION 2. Market Halt

**AS A BUSINESS CONTINUITY REQUIREMENT, ALL TRADING PARTICIPANTS
SHALL BE REQUIRED TO HAVE A CORRESPONDENT TRADING PARTICIPANT.** The

Following the public consultation, the Exchange re-assessed the possible causes of inability to access the trading system and decided to include, in addition to trading system problems, the occurrence of natural disasters or unforeseen and unavoidable events beyond the control of PSE or TPs, such as fire, earthquake, explosion, or bomb threat necessitating evacuation from the building.

A. Guidelines on Natural Disasters or Extraordinary Circumstances

A review of the internal rules/trading rules of five (5) Asian stock exchanges³ showed that all permitted the temporary suspension of trading or closure of the market in the event of a natural disaster or extraordinary circumstance. For instance, the SGX-ST may suspend or restrict trading if the “functions of SGX-ST are, or are threatened to be, severely and adversely affected by an emergency such as fire, terrorist activities, power failures, communication or transportation breakdowns, or computer malfunctions.” In the Stock Exchange of Hong Kong, there are “trading and settlement arrangements in the event of Typhoon Signal No. 8 or above, Extreme Conditions and Black Rainstorm Warnings.”

B. Guidelines for Correspondent TP Arrangement

Lastly, the PSE is of the view that if the order management system that a TP uses is unable to connect to the trading system, alternative means, such as placing trades through another TP on a correspondent broker arrangement, should be considered as an added contingency plan.

In response to comments received from stakeholders, the Exchange proposes to incorporate in the Implementing Guidelines of the Revised Trading Rules the guidelines for selection of correspondent TP. The proposed Implementing Guidelines provide, among others, that to ensure that the TP will be able to connect via its correspondent TP, the latter should (i) be utilizing a Front-End Order Management Systems (FEOMS) from a different provider/vendor, or (ii) if

Exchange may halt the trading in the market **IF TRADING PARTICIPANTS ACCOUNTING FOR MORE THAN FIFTY PERCENT (50%) OF THE AVERAGE DAILY TRADING VALUE (EXCLUSIVE OF BLOCK SALES) FOR THE SIX CALENDAR MONTHS PRECEDING THE DATE OF DETERMINATION** cannot access the trading system, **DIRECTLY OR THROUGH THEIR CORRESPONDENT TRADING PARTICIPANT**, due **SOLELY** to trading system **PROBLEMS ATTRIBUTABLE TO EXCHANGE SYSTEM ISSUES** such as, but not limited to, server failure, network/link problems, ~~or~~ application errors, **NATURAL DISASTERS OR EXTRAORDINARY CIRCUMSTANCES**.

³ Bursa Malaysia, Indonesia Stock Exchange, Shenzhen Stock Exchange, Singapore Exchange and Stock Exchange of Hong Kong.

using the same FEOMS, the correspondent TP should be clustered in a silo and FIX Gateway that is separate from that of the appointing TP.

III. Proposed Amendments

In connection with the PSE's mandate to strive for continuous operation for the benefit of its stakeholders, the Exchange proposes the issuance of parameters for the halting, suspension and cancellation of a scheduled trading day in the event of natural disasters or extraordinary circumstances.

It is also proposed that guidelines on the selection of a correspondent TP be incorporated in Part XXI of the Implementing Guidelines of the Revised Trading Rules.

The full text of the proposed Guidelines on Natural Disasters or Extraordinary Circumstances and the pertinent sections of the Implementing Guidelines of the Revised Trading Rules with the proposed revisions are set out in Annexes "A" and "B", respectively.

GUIDELINES ON NATURAL DISASTERS OR EXTRAORDINARY CIRCUMSTANCES

1. TO MAINTAIN AN ORDERLY, FAIR AND INFORMED MARKET, THE EXCHANGE WILL HAVE THE DISCRETION TO HALT, SUSPEND OR CANCEL A SCHEDULED TRADING DAY WHEN THERE IS REASONABLE CAUSE TO BELIEVE THAT ANY OF THE FOLLOWING CIRCUMSTANCES OR ANALOGOUS EVENTS EXIST OR IS LIKELY TO EXIST AND THE EXCHANGE IS UNABLE TO IMPLEMENT ITS BUSINESS CONTINUITY PLAN:
 - a. OCCURRENCE OF AN EMERGENCY SITUATION, INCLUDING, BUT NOT LIMITED TO FIRE, EARTHQUAKE, ERUPTION, FLOOD, CIVIL COMMOTION, TERRORIST ATTACK AND OTHER ANALOGOUS CIRCUMSTANCES THAT NECESSITATES EVACUATION FROM, OR PREVENTS THE PSE EMPLOYEES FROM RE-ENTERING, THE EXCHANGE PREMISES;
 - b. OCCURRENCE OF AN EMERGENCY SITUATION, INCLUDING BUT NOT LIMITED TO ITEM 1(A) ABOVE, THAT MAY DISRUPT THE TRADING ACTIVITIES OF THE TPS WHO COLLECTIVELY ACCOUNT FOR MORE THAN 50% OF THE AVERAGE DAILY TRADING VALUE (EXCLUSIVE OF BLOCK SALES), AS OF THE END OF THE SIX (6) CALENDAR MONTH PERIOD PRECEDING THE DATE OF DETERMINATION; OR
 - c. ANY OTHER EMERGENCY OR ANALOGOUS SITUATION INCLUDING FORTUITOUS EVENTS THAT MAY ADVERSELY IMPACT THE OPERATION OF A FAIR, ORDERLY AND EFFICIENT MARKET OR POSE A RISK TO PSE EMPLOYEES.

THE EXCHANGE SHALL IMMEDIATELY NOTIFY THE SECURITIES AND EXCHANGE COMMISSION OF ITS DECISION TO HALT, SUSPEND OR CANCEL A SCHEDULED TRADING DAY.

2. IN THE EVENT THAT THE PHILIPPINE ATMOSPHERIC, GEOPHYSICAL, AND ASTRONOMICAL SERVICES ADMINISTRATION (PAGASA) ISSUES AN OFFICIAL PUBLIC STORM WARNING SIGNAL (PSWS) ANNOUNCEMENT IN THE NATIONAL CAPITAL REGION (NCR), THE EXCHANGE SHALL DECIDE ON THE CANCELLATION OF A SCHEDULED TRADING DAY BASED ON THE FOLLOWING PARAMETERS:

<u>PSWS</u>	<u>TRADING STATUS</u>
<u>1</u>	<u>REGULAR TRADING</u>
<u>2</u>	<u>REGULAR TRADING</u>

<u>3</u>	<u>NO TRADING</u>
<u>4</u>	<u>NO TRADING</u>
<u>5</u>	<u>NO TRADING</u>

- a. SHOULD PAGASA OFFICIALLY ANNOUNCE THE DOWNGRADING OF THE PSWS IN NCR TO SIGNAL NO. 1 OR 2 BY 6:00 A.M. OF THE FOLLOWING TRADING DAY, THERE SHALL BE NO CANCELLATION OF THE SAID SCHEDULED TRADING DAY.
- b. SHOULD PAGASA OFFICIALLY ANNOUNCE THAT THE PSWS IN NCR REMAINS TO BE AT SIGNAL NUMBER 3 OR HIGHER BY 6:00 A.M. OF THE FOLLOWING TRADING DAY, SAID TRADING DAY SHALL BE CANCELLED.

IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES

PART XXI
TECHNICAL CONTINGENCIES

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2. ALL TPS SHALL BE REQUIRED TO DESIGNATE A CORRESPONDENT TP. THE DESIGNATION OF A CORRESPONDENT TP SHALL BE IN ACCORDANCE WITH THE FOLLOWING GUIDELINES:

- a. SELECTION OF A CORRESPONDENT TP
 - i. THE CORRESPONDENT TP SHOULD BE USING FRONT-END ORDER MANAGEMENT SYSTEM (FEOMS) FROM A DIFFERENT PROVIDER/VENDOR; OR
 - ii. IF USING THE SAME FEOMS, THE CORRESPONDENT TP SHOULD BE CLUSTERED IN A SILO AND FIX GATEWAY THAT IS DIFFERENT FROM THE CONNECTION OF THE APPOINTING TP.
- b. PRIOR TO DESIGNATING A CORRESPONDENT TP AND AT LEAST THREE (3) TRADING DAYS BEFORE THE EFFECTIVITY OF SUCH DESIGNATION, A TP (THE "REQUESTING TP") SHALL OBTAIN THE EXCHANGE'S CONFIRMATION THAT THE SELECTION OF THE CORRESPONDENT TP CONFORMS TO THE GUIDELINES IN PARAGRAPH 2(A) ABOVE.
- c. A REQUESTING TP SHALL SIGN A CONTRACT WITH ITS SELECTED CORRESPONDENT TP ("CORRESPONDENT TP CONTRACT") WHICH SHALL CONTAIN, AT THE MINIMUM, THE FOLLOWING PROVISIONS:
 - i. ALL TRANSACTIONS EXECUTED BY THE CORRESPONDENT TP PURSUANT TO THE CORRESPONDENT TP CONTRACT SHALL STRICTLY COMPLY WITH THE PSE TRADING RULES AND ITS IMPLEMENTING GUIDELINES, THE SECURITIES REGULATION CODE AND ITS IMPLEMENTING RULES AND REGULATIONS, AND OTHER APPLICABLE RULES OF THE EXCHANGE AND THE SECURITIES AND EXCHANGE COMMISSION;
 - ii. THE REQUESTING TP MAY INSTRUCT THE CORRESPONDENT TP TO EXECUTE TRANSACTIONS FOR THE REQUESTING TP'S CLIENT ACCOUNTS;
 - iii. CONSISTENT WITH THE PROVISIONS ON MARKET HALT AS PROVIDED IN THE PSE TRADING RULES, THE REQUESTING TP MAY INSTRUCT THE

CORRESPONDENT TP TO EXECUTE TRANSACTIONS FOR THE REQUESTING TP'S PROPRIETARY ACCOUNTS; AND

- iv. THE CORRESPONDENT TP SHALL EXECUTE TRANSACTIONS ON BEHALF OF THE REQUESTING TP USING A DONE-THROUGH ACCOUNT CODE.
- d. TPs SHALL INFORM THEIR CLIENTS THAT, IN THE EVENT THE TP IS UNABLE TO TRADE AND AS A BUSINESS CONTINUITY REQUIREMENT, CLIENTS' TRANSACTIONS MAY BE COURSED THROUGH A CORRESPONDENT TP.
- e. THE AGGREGATION OF DONE-THROUGH TRANSACTIONS SHALL NOT BE ALLOWED.
- f. EXCEPT AS PROVIDED IN PARAGRAPH 2(E) ABOVE, THE RULES AND IMPLEMENTING GUIDELINES ON DONE-THROUGH TRANSACTIONS SHALL APPLY TO DONE-THROUGH TRANSACTIONS EXECUTED PURSUANT TO A CORRESPONDENT TP CONTRACT.
- g. THE EXCHANGE SHALL MAINTAIN A REGISTRY OF ALL TPS AND THEIR RESPECTIVE CORRESPONDENT TPS.
- h. THE PROVISIONS OF THIS PART XXI, NO. 2 SHALL APPLY IN THE EVENT THAT THE CORRESPONDENT TP DESIGNATES ADDITIONAL (OR REPLACEMENT) CORRESPONDENT TP.

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